

SENATE BILL No. 188

DIGEST OF INTRODUCED BILL

Citations Affected: IC 14-15-14-2; IC 36-9-11; IC 36-10-5-6.

Synopsis: Parking at Lake Michigan beaches. Prohibits a municipality from charging parking fees at a municipally owned parking lot at a municipal park beach on Lake Michigan, unless the municipality has: (1) a lifeguard on duty at the beach during the hours that swimming is allowed; and (2) public rescue equipment installed on any pier or public access site of the municipality. Allows a municipality to charge parking fees without satisfying the lifeguard requirement while notes, bonds, leases, or other obligations are outstanding that the municipality: (1) issued, incurred, or entered into before July 1, 2026; and (2) pays or pledged to pay from parking fee revenues. Prohibits a municipality from pledging or using parking fees to pay bonds, leases, or other debt obligations issued, incurred, or entered into after June 30, 2026.

Effective: July 1, 2026.

Bohacek

January 6, 2026, read first time and referred to Committee on Natural Resources.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

SENATE BILL No. 188

A BILL FOR AN ACT to amend the Indiana Code concerning local government.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 14-15-14-2, AS ADDED BY P.L.35-2024,
2 SECTION 5, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]: Sec. 2. (a) The owner of a pier or public access site on
4 Lake Michigan shall install public rescue equipment on the pier or
5 public access site. The public rescue equipment installed on a pier or
6 public access site under this subsection:
7 (1) must include at least one (1) ring life buoy; and
8 (2) may include other types of public rescue equipment.
9 (b) The owner of a pier or public access site on Lake Michigan:
10 (1) shall oversee the installation and maintenance of the public
11 rescue equipment required by this section; and
12 (2) if the owner is the state of Indiana or a unit of local
13 government, shall also provide public education concerning the
14 public rescue equipment installed on the pier or public access site.
15 (c) **A municipality that:**
16 **(1) is the owner of a pier or public access site on Lake**
17 **Michigan; and**



**(2) fails to comply with the requirements of this chapter;
is subject to IC 36-9-11-7.5 or IC 36-10-5-6.**

SECTION 2. IC 36-9-11-7, AS AMENDED BY P.L.127-2017, SECTION 294, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 7. (a) **Except as provided in section 7.5 of this chapter**, in connection with the operation of any parking facility, the municipal works board may fix the rates and charges to be collected for the parking of vehicles, or for any other use of the facility, and adopt rules governing the use and operation of the facility so as to promote the maximum use of the facility by the public in a safe, orderly, and efficient manner. In a city, however, these rates, charges, and rules do not become effective until they are approved by ordinance or resolution of the legislative body.

(b) All rates and charges for parking and other services must be reasonable and designed to bring in revenues sufficient to cover the cost of providing and operating necessary parking facilities.

(c) A person handling monies of one (1) or more parking facilities must be properly bonded to insure a faithful accounting for the money coming into the person's hands.

SECTION 3. IC 36-9-11-7.5 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 7.5. (a) **As used in this section, "parking fee" means a fee charged by a municipality to park a vehicle at a parking lot.**

(b) **As used in this section, "parking lot" means a municipally owned parking lot that is located on the municipality's park beach property on the Lake Michigan shore.**

(c) **A municipality may not charge a parking fee unless:**

(1) **a qualified lifeguard is on duty at the municipal park beach at all times during the hours the municipal park beach is open for swimming; and**

(2) **public rescue equipment is installed on any pier or public access site of the municipality as required by IC 14-15-14.**

(d) **A municipality is not subject to subsection (c) while any notes, bonds, leases, or other obligations are outstanding that the municipality:**

(1) **issued, incurred, or entered into before July 1, 2026; and**

(2) **pays or pledged to pay from parking fee revenue.**

Nothing in this section shall be construed to alter the terms of any agreements made with the holders of any outstanding notes, bonds, leases, or other obligations of the issuing municipality or to authorize the issuing municipality to alter the terms of any agreements, or to impair or to authorize the issuing municipality



1 to impair the rights and remedies of any creditors of the issuing
2 municipality.

3 (e) Notwithstanding any other statute, a municipality may not
4 pledge or use parking fee revenue to pay or repay notes, bonds,
5 leases, or other obligations issued, incurred, or entered into after
6 June 30, 2026.

7 SECTION 4. IC 36-9-11-20 IS AMENDED TO READ AS
8 FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 20. (a) This subsection
9 applies only to cities. **Except as provided in section 7.5 of this**
10 **chapter**, all or part of the gross revenues, or of the net revenues
11 remaining after the payment of the cost of operation, maintenance, and
12 repair, may be pledged to the payment of the principal of and interest
13 on the revenue bonds and the accumulation and maintenance of the
14 reserve for the bonds, in the manner and to the extent provided in the
15 ordinance or ordinances authorizing the issuance of the revenue bonds.
16 The ordinance or ordinances authorizing the issuance of revenue bonds
17 also may provide for a pledge of all or a designated part of the gross or
18 net revenues derived from:

- 19 (1) other parking facilities;
- 20 (2) onstreet parking meters;
- 21 (3) parking mechanisms;
- 22 (4) parking and traffic violation fines and fees;
- 23 (5) lease rentals in connection with any parking facilities, private
24 pledges, and contributions; and
- 25 (6) any federal and state grants and distributions not dedicated or
26 restricted by law to other purposes;

27 to the payment of principal of and interest on revenue bonds issued or
28 to be issued under this chapter, and to the accumulation and
29 maintenance of the reserve for the bonds. The extent and the manner
30 of making the pledge may be provided in the ordinance or ordinances
31 authorizing the issuance of bonds.

32 (b) This subsection applies only to towns. An ordinance authorizing
33 the issuance of revenue bonds for parking facilities may provide for a
34 pledge of all or a designated part of the unobligated net revenues
35 derived from other parking facilities, parking meters, or parking
36 mechanisms, to the extent required to maintain the parking sinking
37 fund established under section 19 of this chapter at the minimum level.

38 SECTION 5. IC 36-10-5-6 IS ADDED TO THE INDIANA CODE
39 AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
40 1, 2026]: Sec. 6. (a) **This section applies only to a municipality that**
41 **has a municipal park beach on the Lake Michigan shore.**

42 (b) As used in this section, "parking fee" means a fee charged by



1 a municipality to park a vehicle at a parking lot.

2 (c) As used in this section, "parking lot" means a municipally
3 owned parking lot that is located on the municipal park beach
4 property.

5 (d) A municipality may not charge a parking fee unless:

6 (1) a qualified lifeguard is on duty at the municipal park
7 beach at all times during the hours the municipal park beach
8 is open for swimming; and

9 (2) public rescue equipment is installed on any pier or public
10 access site of the municipality as required by IC 14-15-14.

11 (e) A municipality is not subject to subsection (d) while any
12 notes, bonds, leases, or other obligations are outstanding that the
13 municipality:

14 (1) issued, incurred, or entered into before July 1, 2026; and

15 (2) pays or pledged to pay from parking fee revenue.

16 Nothing in this section shall be construed to alter the terms of any
17 agreements made with the holders of any outstanding notes, bonds,
18 leases, or other debt obligations of the issuing municipality or to
19 authorize the issuing municipality to alter the terms of any
20 agreements, or to impair or to authorize the issuing municipality
21 to impair the rights and remedies of any creditors of the issuing
22 municipality.

23 (f) Notwithstanding any other statute, a municipality may not
24 pledge or use parking fee revenue to pay or repay notes, bonds,
25 leases, or other obligations issued, incurred, or entered into after
26 June 30, 2026.

